

Kansas Rental Accounting and Tax Law Sourcebook

Kansas landlord-deposit law, income tax, sales/use tax, property tax, personal property, LLC reporting, information returns, and unclaimed property

Prepared for	GH Real Estate, LLC
Property	Fourplex - 9401 Nieman Road, Overland Park, Kansas 66214
Current through	July 12, 2026
Intended use	Upload after Volumes 00 and 01. Use for Kansas law and state tax questions involving the GH fourplex.
Authority model	Binding law, authoritative administrative sources, official guidance, GAAP topic locators, and project controls are labeled separately.

Important limitation

This is a curated, dated authority map and operating sourcebook, not a substitute for the live law, a signed lease, a tax return position, legal advice, or a CPA engagement. No static PDF can make an AI answer legally binding. The cited live authority controls.

Prepared as a searchable source for a ChatGPT Project. Official URLs are printed in full in each source register.

Contents

1. Scope and applicability	3
2. Security deposits and tenant money	3
3. Unclaimed tenant refunds and credit balances	3
4. Kansas income, sales/use, and property tax summary	4
5. Real and personal property calendar	4
6. Kansas LLC books, contributions, and distributions	4
7. Vendor and state information reporting	4
8. Conditional Kansas triggers	5
9. Kansas record-retention controls	5
10. Kansas source register	5

1. Scope and applicability

This volume is tailored to a Kansas domestic LLC owning a long-term residential fourplex in Overland Park. It includes rules that directly affect accounting records, tenant liabilities, taxes, entity records, and filing. Employment, short-term lodging, abandoned belongings, nonresident-service withholding, and CPA-practice rules are conditional.

Lease and fee warning

The supplied target fee policy may not match existing signed leases. Kansas does not make an internal policy enforceable. Before invoicing or automating a fee, use the applicable executed lease and obtain Kansas counsel review for unconscionability or disputed terms.

2. Security deposits and tenant money

Step	Kansas rule	Required accounting control
Receipt	Unfurnished deposit <= one month's periodic rent; furnished <= 1.5 months; pet extra <= 0.5 month	Credit tenant-specific liability; validate cap against rent and furnishings/pet terms
Label	Definition applies 'however denominated' when required before occupancy and forfeitable on breach	Do not rely on 'holding fee' or 'retainer' label; review substance and agreement
Move-in	Joint signed inventory within five days of occupancy or possession; tenant gets copy	Attach sanitized inventory reference to tenant ledger and retain photos/evidence
Application	At termination, may apply to accrued rent and damages for tenant noncompliance / lease, with written itemization	Do not net silently; debit liability and separately identify each retained category
Return	Balance within 14 days after charges determined, but never later than 30 days after termination, possession, and tenant demand; mail to last known address when required	Calendar facts, record address/demand, issue refund, preserve delivery/mailling proof
Noncompliance	Tenant may recover amount due plus 1.5 times amount wrongfully withheld	Escalate any disputed or late refund; never use liability as income because check is stale
Unclaimed refund	Potential five-year dormancy; due diligence/reporting/remittance rules	Keep liability and unclaimed-property aging schedule until paid or remitted

K.S.A. 58-2550 does not itself state that deposits must be held in a separate escrow account or earn interest. A dedicated bank account can still be a strong internal control, and a lease or other obligation could impose additional requirements. Do not state that segregation is a Kansas statutory requirement without another applicable source.

3. Unclaimed tenant refunds and credit balances

- A stale or uncashed refund check remains a liability. Do not reverse it to rent income merely because a check expired or mail was returned.
- Kansas property definitions expressly include security deposits, refunds, credit balances, overpayments, and checks. The five-year all-other-property period is the likely rule for an uncashed tenant refund, but classify each item before calendaring.
- Holder reports are generally due before November 1 for the 12 months preceding July 1. Due diligence for items of at least \$100 with a usable address generally occurs not more than 120 and not less than 60 days before filing.
- The limited no-report exception applies when no individual item exceeds \$100 and aggregate property is under \$250, unless the Treasurer requires a report. Do not treat that exception as permission to recognize income.
- Keep owner/property records at least 10 years after the property becomes reportable and retain report/remittance confirmations.

4. Kansas income, sales/use, and property tax summary

Topic	Current GH conclusion	Source IDs
Kansas income tax	Assumed disregarded rental flows through federal AGI to owner K-40, subject to Kansas modifications	KS-IT-001/002
Estimated tax	Review if expected Kansas balance >= \$500 and payment safe harbors are not met	KS-IT-003
Long-term apartment rent	Not subject to Kansas retailers' sales tax	KS-ST-001/002
Late/returned/damage fees	Ordinary lease-incidental amounts are not separately enumerated taxable services - inference, not a fee-specific ruling	KS-ST-001/002/005
Use tax	Accrue on untaxed taxable out-of-state purchases used in Kansas	KS-ST-003/005
Residential repair labor	Real-property repair/remodel labor can be exempt; materials remain taxable	KS-ST-004
Appliance repair	Parts and labor for tangible personal property can be taxable	KS-ST-004
Real property assessment	Multifamily residential classification generally 11.5% of fair market value	KS-PT-001
Personal property	Initial rendition, then change-only filing by March 15 under current rule; exemptions need item analysis	KS-PP-001/002/003
1099 copy filing	Kansas copy may be due by Jan. 31; >50 forms e-file under current specs	KS-IR-001

5. Real and personal property calendar

Date / event	Current requirement	Control
January 1	Valuation/ownership date for real and relevant personal property	Snapshot assets, ownership, use, and residential classification
March 15	Personal-property initial rendition or required change statement due	File only when current statute requires; do not assume unchanged annual filing
Value notice mailing	Real-property appeal generally within 30 days after mailing	Calendar from actual notice, not a generic date
May (current county notice)	Personal-property appeal deadline and decisions vary by annual calendar	Use Johnson County current dates
November 1	Unclaimed-property holder report deadline	Due diligence generally 60-120 days before filing
December 20	Full real/personal property tax or first half due	Reconcile county receipt or escrow disbursement
May 10 following year	Second half due	Calendar weekends/holidays and verify county notice
April 15 in parity year	Kansas LLC biennial information report	Formation year parity determines filing years; verify current fee/status

6. Kansas LLC books, contributions, and distributions

- Maintain organization documents, member/manager and contribution records, financial-condition information, and tax returns. Electronic records must be convertible to readable paper within a reasonable time.
- Book owner cash/property contributions to member equity, not other income. Preserve amount/date/property value and operating-agreement effect.
- Book owner draws to distributions/equity, not expense. Apply statutory solvency limits and the operating agreement before distribution.
- File the biennial information report by April 15 in years matching the parity of the formation year. Use the live Secretary of State portal for current fee and status.

7. Vendor and state information reporting

When a federal information return is required for a Kansas resident or Kansas-taxable payee, Kansas copy filing may be required. Current KDOR specifications use a January 31 due date and electronic filing for more than 50 forms. Preserve W-9, payment method, federal form decision, Kansas nexus, and acceptance confirmation. Federal payment-card reporting rules can prevent duplicate payer Forms 1099, but Kansas filing follows the federal form actually required.

8. Conditional Kansas triggers

Trigger	Additional rules to activate	Source IDs
Employee hired / worker reclassified	Kansas withholding, W-2/KW-3, unemployment insurance, workers compensation, payroll records	KS-EMP-001/002/003
Nonresident manager/consultant performs Kansas services	Potential 5% Kansas withholding and return mechanics	KS-EMP-001
Stays of 28 days or less	Kansas sales tax and transient guest tax; room/bedroom definitions, registration, rates, and returns	KS-TG-001
Tenant abandons belongings	30-day holding, publication/mailling, statutory disposition waterfall	KS-LT-006
Kansas expensing election	Asset qualification, federal/Kansas differences, form, and recapture	KS-IT-004
CPA compilation/review/audit	Kansas Board of Accountancy and applicable professional standards	KS-CPA-001
Entity classification/member changes	Separate Kansas entity returns, withholding/composite issues, and different federal flow-through	KS-LLC / KS-IT plus professional review

9. Kansas record-retention controls

KDOR's general baseline is current year plus at least three prior years, and sales/use-tax records are commonly open for at least three years. That is not sufficient for every GH record. Keep tax returns/elections and entity records permanently; asset basis/depreciation until after disposition limitation periods; unclaimed-property records at least 10 years after reportable; and lease/deposit evidence through all refund, dispute, and unclaimed-property periods.

10. Kansas source register

The register prioritizes live Kansas statutes and current official administration. Older fact sheets remain useful only where current statutes and current guidance do not conflict.

KS-LT-000	Kansas Residential Landlord and Tenant Act - Article 25 index	Binding Kansas statutes	Current
Live index to the full act. Use it to identify additional lease, disclosure, duty, notice, remedy, abandonment, and applicability provisions when the question extends beyond deposit accounting. https://www.kslegislature.gov/b2025_26/laws/058_000_0000_chapter/058_025_0000_article/			
KS-LT-001	K.S.A. 58-2543 - definitions	Binding Kansas statute	Current
Defines rent, rental agreement, landlord, tenant, and security deposit. A sum can be a security deposit 'however denominated' when required before occupancy and forfeitable on breach. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0043.html			
KS-LT-002	K.S.A. 58-2544 - unconscionability	Binding Kansas statute	Current
A court may refuse or limit an unconscionable rental term or settlement. Fee enforceability requires lease and fact review; accounting cannot cure an unenforceable charge. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0044.html			
KS-LT-003	K.S.A. 58-2547 - prohibited lease terms	Binding Kansas statute	Current
Prohibits waivers of statutory rights, confession of judgment, certain attorney-fee clauses, and specified exculpation/indemnity terms in residential rental agreements. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0047.html			
KS-LT-004	K.S.A. 58-2548 - move-in inventory	Binding Kansas statute	Current
Within five days of occupancy or possession, landlord and tenant jointly prepare and sign duplicate condition inventories; tenant receives a copy. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0048.html			
KS-LT-005	K.S.A. 58-2550 - security deposits	Binding Kansas statute	Current
Caps, permitted application, written itemization, return timing, and wrongful-withholding damages. Core accounting authority for deposit liabilities. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0050.html			

KS-LT-005A	K.S.A. 58-2551 - owner and manager disclosures	Binding Kansas statute	Current
At or before tenancy, disclose in writing the manager and an owner/authorized person for service/notices; keep information current. Align lease, invoices, payment portal, and notices. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0051.html			
KS-LT-005B	K.S.A. 58-2564 - nonpayment and tenant breach	Binding Kansas statute	Conditional
Notice and remedy rules for material breach and nonpayment. A posted late fee or unpaid balance does not itself satisfy legal termination/collection procedures. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0064.html			
KS-LT-006	K.S.A. 58-2565 - abandonment and tenant property	Binding Kansas statute	Conditional
Procedures for abandoned tenant property, notice/publication, holding period, disposition costs, debts, and remaining proceeds. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0065.html			
KS-LT-007	K.S.A. 58-2566 - acceptance of late rent	Binding Kansas statute	Conditional
Acceptance of late rent without reservation can waive the right to terminate for that breach, unless otherwise agreed after breach. Payment automation must preserve legal review and receipt facts. https://ksrevisor.gov/statutes/chapters/ch58/058_025_0066.html			
KS-UP-001	K.S.A. 58-3934 - unclaimed-property definitions	Binding Kansas statute	Current
Property includes security deposits, refunds, credit balances, overpayments, and checks. Prevents stale tenant liabilities from being casually reversed to income. https://ksrevisor.gov/statutes/chapters/ch58/058_039_0034.html			
KS-UP-002	K.S.A. 58-3935 - abandonment periods	Binding Kansas statute	Current
All-other property is generally presumed abandoned five years after the right to demand or obligation to pay arises. Classification can change the dormancy period. https://ksrevisor.gov/statutes/chapters/ch58/058_039_0035.html			
KS-UP-003	K.S.A. 58-3950 - holder report and due diligence	Binding Kansas statute	Current
Report before Nov. 1 for the 12 months preceding July 1; 60-120 day due-diligence notice for qualifying items; limited small-holder no-report exception. https://ksrevisor.gov/statutes/chapters/ch58/058_039_0050.html			
KS-UP-004	K.S.A. 58-3952 - payment/delivery to administrator	Binding Kansas statute	Current
Remit abandoned property with the report under statutory procedures; retain proof that liability was discharged to the state. https://ksrevisor.gov/statutes/chapters/ch58/058_039_0052.html			
KS-UP-005	K.S.A. 58-3964 - unclaimed-property records	Binding Kansas statute	Current
Holder record-retention obligation; project baseline keeps records at least 10 years after property becomes reportable. https://ksrevisor.gov/statutes/chapters/ch58/058_039_0064.html			
KS-UP-006	Kansas State Treasurer holder guidelines	Official administration	Current
Current reporting, due diligence, negative-report, remittance, and file-format instructions. Use the live holder portal each reporting cycle. https://kansascash.ks.gov/assets/files/guidelines2.pdf			
KS-IT-001	K.S.A. 79-32,109 - Kansas-source income	Binding Kansas statute	Current
Kansas-source income includes income from ownership of Kansas real property and informs nonresident/source analysis. https://ksrevisor.gov/statutes/chapters/ch79/079_032_0109.html			
KS-IT-002	K.S.A. 79-32,117 - Kansas adjusted gross income	Binding Kansas statute	Current
Kansas individual AGI starts from federal AGI with Kansas additions/subtractions. Federal Schedule E therefore flows into K-40 under assumed disregarded status, subject to modifications. https://ksrevisor.gov/statutes/chapters/ch79/079_032_0117.html			

KS-IT-003	2026 K-40ES	Official filing form	Conditional
Kansas estimated tax generally applies when expected balance is at least \$500 and payment safe harbors are not met. Use annual form for installment dates and computation. https://www.ksrevenue.gov/pdf/k-40es26.pdf			
KS-IT-004	K.S.A. 79-32,143a and Form K-120EX	Binding statute / filing form	Conditional
Kansas expensing modification may apply to qualifying assets. Coordinate with federal depreciation and Kansas recapture; residential building generally not eligible. https://ksrevisor.gov/statutes/chapters/ch79/079_032_0143a.html			
KS-ST-001	K.S.A. 79-3603 - retailers' sales tax	Binding Kansas statute	Current
Taxable enumerated sales and services. Ordinary long-term apartment rent is not an enumerated taxable sale; lodging rules are separate. https://ksrevisor.gov/statutes/chapters/ch79/079_036_0003.html			
KS-ST-002	KDOR residential and commercial property rental fact sheet	Official guidance	Current
Confirms ordinary real-property rent is not subject to Kansas retailers' sales tax and distinguishes taxable tangible personal property/services. https://www.ksrevenue.gov/factsheets/fsresidential.pdf			
KS-ST-003	K.S.A. 79-3703 - compensating use tax	Binding Kansas statute	Current
Use tax applies to taxable purchases used in Kansas when proper Kansas sales tax was not collected. https://ksrevisor.gov/statutes/chapters/ch79/079_037_0003.html			
KS-ST-004	KDOR Publication KS-1525 - contractors	Official guidance	Current
Current contractor/material/labor tax rules. Residential real-property repair/remodel labor can be exempt while materials, appliances, and tangible-personal-property repair remain taxable. https://www.ksrevenue.gov/pdf/pub1525.pdf			
KS-ST-005	KDOR Publication KS-1510	Official guidance	Current
Sales/use tax administration, registration, returns, sourcing, and written-ruling caution. Do not rely on oral advice for unusual fee taxability. https://www.ksrevenue.gov/pub1510.html			
KS-PT-001	K.S.A. 79-1439 - classification and assessment	Binding Kansas statute	Current
Multifamily residential real property is assessed at 11.5% of fair market value; commercial/industrial real property is 25%. Preserve residential-use facts. https://ksrevisor.gov/statutes/chapters/ch79/079_014_0039.html			
KS-PT-002	K.S.A. 79-2004 - property-tax payment	Binding Kansas statute	Current
Property taxes generally due in full Dec. 20 or in two installments Dec. 20 and May 10, subject to calendar adjustment and current county notice. https://ksrevisor.gov/statutes/chapters/ch79/079_020_0004.html			
KS-PP-001	K.S.A. 79-306 - personal-property rendition	Binding Kansas statute	Current
Effective Jan. 1, 2025: initial rendition, then by March 15 only when a required change occurs. File for taxable property owned, leased, or controlled Jan. 1. https://ksrevisor.gov/statutes/chapters/ch79/079_003_0006.html			
KS-PP-002	2026 Kansas Personal Property Valuation Guide	Official administration	Current
Classification, exemptions, schedules, penalties, valuation, and current rendition change. The guide is extensive; use relevant sections with county confirmation. https://www.ksrevenue.gov/pdf/ppvg.pdf			
KS-PP-003	K.S.A. 79-223 and 79-201w - machinery/equipment exemptions	Binding Kansas statutes	Current
Many qualifying post-June 30, 2006 commercial machinery/equipment items and items with retail cost when new <= \$1,500 may be exempt. Misclassification can cause back tax/penalty. https://ksrevisor.gov/statutes/chapters/ch79/079_002_0023.html			

KS-PP-004	K.S.A. 79-201w - \$1,500 commercial equipment exemption	Binding Kansas statute	Current
Commercial/industrial machinery and equipment with retail cost when new of \$1,500 or less per item may be exempt; the item definition and original new cost need evidence. https://ksrevisor.gov/statutes/chapters/ch79/079_002_0001w.html			
KS-LLC-001	K.S.A. 17-76,139 - LLC information report	Binding Kansas statute	Current
Biennial report due April 15 in years matching formation-year parity; owner/principal-office disclosures; delinquency and forfeiture process. Confirm live fee. https://ksrevisor.gov/statutes/chapters/ch17/017_076_0139.html			
KS-LLC-002	Kansas Secretary of State information reports	Official administration	Current
Live filing portal, entity-type instructions, current forms, and current fee. The statute controls timing; portal controls filing mechanics. https://sos.ks.gov/businesses/information-reports.html			
KS-LLC-003	K.S.A. 17-7690 - LLC records	Binding Kansas statute	Current
Maintain financial-condition information, tax returns, organization/member/manager records, and contribution records; electronic records must be convertible to paper. https://ksrevisor.gov/statutes/chapters/ch17/017_076_0090.html			
KS-LLC-004	K.S.A. 17-76,110 - LLC distributions	Binding Kansas statute	Current
Owner draws are equity distributions; do not distribute when statutory liabilities would exceed fair-value assets after the distribution. https://ksrevisor.gov/statutes/chapters/ch17/017_076_0110.html			
KS-IR-001	K.S.A. 79-3222 and KDOR K-99MT	Binding statute / filing instructions	Conditional
Kansas copies of applicable federal information returns; Jan. 31 filing and electronic filing when more than 50 forms under current specifications. Penalties/deduction consequences may apply. https://www.ksrevenue.gov/pdf/k-99mt.pdf			
KS-EMP-001	KDOR KW-100 withholding guide	Official guidance	Conditional
Kansas employer withholding, W-2/KW-3, nonresident service withholding, deposits, and record retention if employee or nonresident-service triggers arise. https://www.ksrevenue.gov/kw100.html			
KS-EMP-002	K.S.A. 44-703 - unemployment insurance	Binding Kansas statute	Conditional
Employer coverage generally can trigger at \$1,500 wages in a quarter or one employee in part of a day in 20 weeks, subject to exclusions. https://ksrevisor.gov/statutes/chapters/ch44/044_007_0003.html			
KS-EMP-003	K.S.A. 44-505 - workers compensation	Binding Kansas statute	Conditional
Coverage generally applies above \$20,000 annual gross payroll, subject to statutory exceptions and current administration. https://ksrevisor.gov/statutes/chapters/ch44/044_005_0005.html			
KS-TG-001	Kansas transient guest tax and Publication KS-1540	Binding statutes / official guidance	Conditional
If stays become 28 consecutive days or less and bedroom/room thresholds are met, sales and transient guest tax registration, collection, and returns can activate. https://www.ksrevenue.gov/pdf/pub1540.pdf			
KS-CPA-001	Kansas Board of Accountancy regulations	Professional regulation	Conditional
Governs licensed Kansas CPAs/firms and professional services. It does not independently require this private landlord's internal books to be GAAP statements. https://ksboa.kansas.gov/wp-content/uploads/Regulations-APRIL-2024-COMPLETE.pdf			
KS-RET-001	KDOR Publication KS-1216 - business records	Official guidance	Current
Kansas baseline recordkeeping guidance. Keep longer where federal, unclaimed-property, basis, lease, or dispute rules require. https://www.ksrevenue.gov/pub1216.html			